Amkor Technology (AMKR)

Recovery With Teeth

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*Recovery With Teeth. Revenue troughed at $6.32B in FY2024 and is running at $7.46B TTM. Three straight earnings beats, with Q2 EPS up 218% YoY to $0.70 vs $0.47 consensus [8-K]. AI Packaging Lever. The largest US-headquartered OSAT, with advanced packaging, wafer-level processing and SiP exposure to AI accelerator demand [8-K]. Pessimism Priced In. At $41.82, the reverse DCF implies just 1.9% 5-year growth, below our 4% bear case. DCF base $47.97 is +15% upside; analyst targets average $68.33 (+63%) [DCF sheet, Mkt 17-Oct-26, Cons]. Our framework screens it as a **Hold** with a $48.38 blended target, 16% above the current price.*

HOLD	$48.38	+16%	$41.82
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

AI Packaging Lever. The largest US-headquartered OSAT, with advanced packaging, wafer-level processing and SiP exposure to AI accelerator demand [8-K].

Pessimism Priced In. At $41.82, the reverse DCF implies just 1.9% 5-year growth, below our 4% bear case. DCF base $47.97 is +15% upside; analyst targets average $68.33 (+63%) [DCF sheet, Mkt 17-Oct-26, Cons].

$1.90B	$0.70	$0.72-0.82	9.15%	16.8%	$2.60
REVENUE (Q2 FY26)	EPS (Q2 FY26)	Q3 FY26 EPS GUIDE	NET MARGIN (Q2 FY26)	GROSS MARGIN (Q2 FY26)	FY2026 CONSENSUS EPS

The moat is structural

Q2 revenue $1.90B (+25.6% YoY), EPS $0.70 vs $0.47 consensus, the third straight big beat

Three scenarios make the valuation range explicit

The DCF values Amkor Technology across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$25.74**	-38%
Base	50%	**$47.97**	+15%
Bull	25%	**$71.82**	+72%

Bear ($25.74, -38%): Growth disappoints and multiples compress; the $25.74 target marks the downside case.

Bull ($71.82, +72%): Execution compounds and the multiple rerates; the $71.82 target marks the upside case.

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The probability-blended target implies +16% upside

Blended target: $48.38 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +16% upside from the $41.82 reference price.

$48.38

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Fwd P/E (NTM) 14.9x [Mkt 17-Oct-26] DCF Base $47.97 vs $41.82 spot = +15% upside [DCF sheet] Implied 5-yr revenue CAGR 1.9%, below bear case 4% [DCF sheet] The market prices near-stagnation while even the bear case needs only 4% growth. Absolute valuation is reasonable with a modest margin of safety.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $48.38 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Q2 revenue $1.90B (+25.6% YoY), EPS $0.70 vs $0.47 consensus, the third straight big beat [8-K]

Q3 EPS guide $0.72-0.82; consensus FY EPS of $2.60 implies +73% growth [8-K guid]

Largest US-headquartered OSAT riding AI advanced-packaging demand [8-K]

What to monitor

Oct 26, 2026. Q3 FY26 Earnings (Two-Sided): Consensus $0.79 EPS (+55% YoY), $2.02B revenue. Note: the last two beats were followed by -5.6% and -24.7% one-day reactions.

2026-2027. AI Advanced Packaging Demand (Positive): 2.5D, wafer-level and SiP exposure to AI accelerator demand; US-headquartered OSAT advantage.

Quarterly. Dividend (Positive): $0.0835 per quarter, 0.76% yield, 14.8% payout ratio. Modest but durable through the cycle.

$1.90B	$0.70	$0.72-0.82	9.15%
REVENUE (Q2 FY26)	EPS (Q2 FY26)	Q3 FY26 EPS GUIDE	NET MARGIN (Q2 FY26)

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME

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2025	$6.7B	$939M	$374M
2024	$6.3B	$933M	$354M
2023	$6.5B	$943M	$360M
2022	$7.1B	$1.3B	$766M

Key risks

Beat-and-Drop Pattern. The stock fell 24.7% the day after the Q2 beat and 5.6% after Q1's. Expectations and positioning matter more than the print itself. [Cons]

Cyclical, Capital-Intensive. OSAT is a low-margin toll road with heavy capex requirements. A smartphone or memory downturn would hit utilization and margins hard. [10-K FY25]

Customer Mix. Revenue concentrates in mobile and consumer end markets. AI packaging is growing but not yet large enough to carry a down cycle. [10-K FY25]

Investment view

A Q3 beat with raised Q4 guidance would validate the +73% FY EPS consensus and likely close the gap to the $68.33 analyst target; a guide-down or another post-beat selloff would cut Trend and confirm the multiple compression.

Hold. The $48.38 blended target implies +16% upside, balancing the $25.74 / $47.97 / $71.82 Bear / Base / Bull targets.

Q3 EPS guide $0.72-0.82; consensus FY EPS of $2.60 implies +73% growth [8-K guid]

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Upcoming catalysts

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